Financial Management - Group Work - Cost of Capital & Valuation

1) A company wants to raise Rs. 50 million to expand its business. The finance manager is considering two options:

- Option A: Raise money through bank loan (debt) at 12% interest
- Option B: Raise money through issuing new shares (equity) to investors who expect 18% return

As a group, which finances option would you recommend for the company and why? Discuss your answer by considering risk, return, and cost of capital.

2) A company is planning to raise funds for a new project. The finance manager is comparing debt financing (bank loan) and equity financing (issuing shares).
    - Debt requires paying fixed interest
    - Equity requires giving returns to shareholders based on profits
    - Each option has different risk and cost

Explain why the cost of capital differs between debt and equity financing, and how risk influences the return expected by investors.

Guidelines –- To ensure effective participation, please follow these simple guidelines

1. Group Formation

- Form groups of 5–6 students
- Choose one group leader to coordinate discussion
- Ensure every member participates

2. Discussion Rules

- Share your ideas freely within the group
- Listen to all members before finalizing the answer
- Do not focus on formulas (this topic will be taught later)
- Focus on logic, understanding, and reasoning

4. Expected Answer Style

- Be simple and clear
- Use your own words
- Include:
    - Meaning of risk
    - Difference between debt and equity
    - Why investors expect returns

5. Presentation

- Each group will present their answer in 10 minutes & Only the group leader or selected member will present